ONE PAINFUL PROBLEM · AGENT 4

The 1099-K says $39,907.56. The deposits say $38,492.25.

The return should say neither. Which number goes on line 1?

1099-K	Bank	Line 1
39,907.56	38,492.25	?

Swipe →

WHY THEY NEVER MATCH

The 1099-K counts every swipe. The bank sees what's left.

`$39,907.56 card sales, as the 1099-K counts them`

-`$1,251.96` processor fees

-`$163.35` paid out in January

`$38,492.25 deposited in 2025`

And inside that $39,907.56: sales tax and tips that were never the café's sales.

THE RULE

Gross means gross.

> "...without regard to any adjustments for credits, cash equivalents, discount amounts, fees, refunded amounts, shipping amounts, or any other amounts."

IRS Instructions for Form 1099-K, box 1a

> "...the client may receive an IRS notice if the gross receipts don't reflect amounts from the 1099-K."

Intuit ProConnect help

Sources in the comments

WHAT HIDES IN BOX 1A

Some sales aren't in it. Some of it may not be sales.

Cash sales: income, never on the 1099-K

+$8,042.56

Paid with the café's own gift cards: already income when sold

$2,484.44, not twice

Sales tax and tips inside the sales: your call

tax $3,346.76 · tips $4,034.52

THE BRIDGE TO THE RETURN

The bridge to line 1.

1099-K, box 1a	$39,907.56
Add cash sales	+8,042.56
Gross receipts	**$47,950.12**
Or, if the tax is the buyer's and the tips are the staff's	$40,568.84

The second figure sits $7,381.28 below the sales on the 1099-K and in the till, so the workpaper you keep is what answers an IRS letter.

THE FREE TOOL

One export in. The 1099-K, the return and the bank, tied.

- **Drop in a year from Square, Stripe or PayPal**
  The export the client can download in two minutes
- **Get what the 1099-K should say**
  Box 1a, box 3, and every month, 5a to 5l
- **Type box 1a from the form**
  It ties, or it says by how much and why
- **Print the workpaper**
  With the entry for books that booked deposits as sales

WHAT COMES BACK

A workpaper you can sign.

Does the 1099-K tie?

Square transactions export · 2025 (the year with the most sales in the file)
File: 01-square-juniper-street-2025.csv

Client	EIN
Prepared by	**Date**
Reviewed by	**Date**

If a 1099-K is issued for 2025, box 1a should be $39,907.56.

Type box 1a from the client's 1099-K below to check it ties.

What the 1099-K should say card and app payments for goods and services, before refunds and fees, with sales tax and tips

$39,907.56

Box 1a, gross amount of payment transactions, 2025. Box 3, number of payment transactions: 1,430.

Box 1a on the client's 1099-K

0.00 **Check it ties**

Optional. Type the figure from the form, and press the button.

5A JAN	5B FEB	5C MAR	5D APR	5E MAY	5F JUN
3,424.06	3,381.16	3,011.08	3,396.92	3,101.74	2,920.62
5G JUL	**5H AUG**	**5I SEP**	**5J OCT**	**5K NOV**	**5L DEC**
3,701.68	3,392.38	3,298.11	3,354.84	3,463.56	3,461.41

WHAT IT CATCHES

The things that make a 1099-K "wrong".

- **Box 1a $2,184 higher than the export**
  A second location on the same EIN

- **$310 through PayPal with no fee**
  Friends-and-family transfers, not sales: ask

- **A Dec 31 sale dated Jan 1**
  Stripe exports in UTC; the 1099-K may not

- **June counted twice**
  Two exports pasted together

All from the test files

WE TRIED TO BREAK IT

Tested before it was built.

14

test cases from three invented businesses

660/660

checks passed

17/17

broken copies the tests caught

16

problems a skeptical CPA review found, all fixed

Every test file is public

WHAT IT WON'T DO

Honest limits.

- **It doesn't read the 1099-K PDF**
  You type box 1a
- **Square, Stripe and PayPal only**
  Not Shopify, Venmo or marketplaces yet
- **It doesn't decide sales tax or tips for you**
  It shows the amounts and the rule
- **Layouts from published column names**
  Not yet tested on a real client's export

SERIES 1 · FIVE AGENTS

One painful step of each process. Free.

1 · Who gets a 1099?	done
2 · Do the 941s match the W-3?	done
3 · Did last year change?	done
4 · Does the 1099-K tie?	**today**
5 · Fixed assets	next

GET IT FREE

The tool, the tests and the full write-up: link in the comments.

Every agent ships with its test files and the prompt that rebuilds it.

Follow Zac Lu, CPA for Agent 5: fixed assets.

Then tell me in the comments: which tax-season task still eats your evenings?